



Date: Winter 2026

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Classroom:	OTRSN 1E106

COURSE DESCRIPTION: MGTP 435: Accounting for Mergers and Acquisitions

This class introduces students to the world of mergers and acquisitions and their reporting. M&A specialists are at the center of balancing the demands of executing corporate strategy within the constraints of finance.

Career opportunities in M&A can be found in one of several areas summarized as follows:

- Professional service firms (e.g., legal, accounting, tax advisory, diligence, and structuring)
- Industry (e.g., corporate development teams)
- Investment banks and private equity firms

Senior corporate leadership and development officers work closely across the business enterprise to analyze potential transactions, negotiate deals and create a plan to deliver the synergies hoped for in every transaction. As noted above, these leaders must interact with third-party advisors, including but not limited to legal, finance, accounting, tax, and a broad array of business and investment advisors.

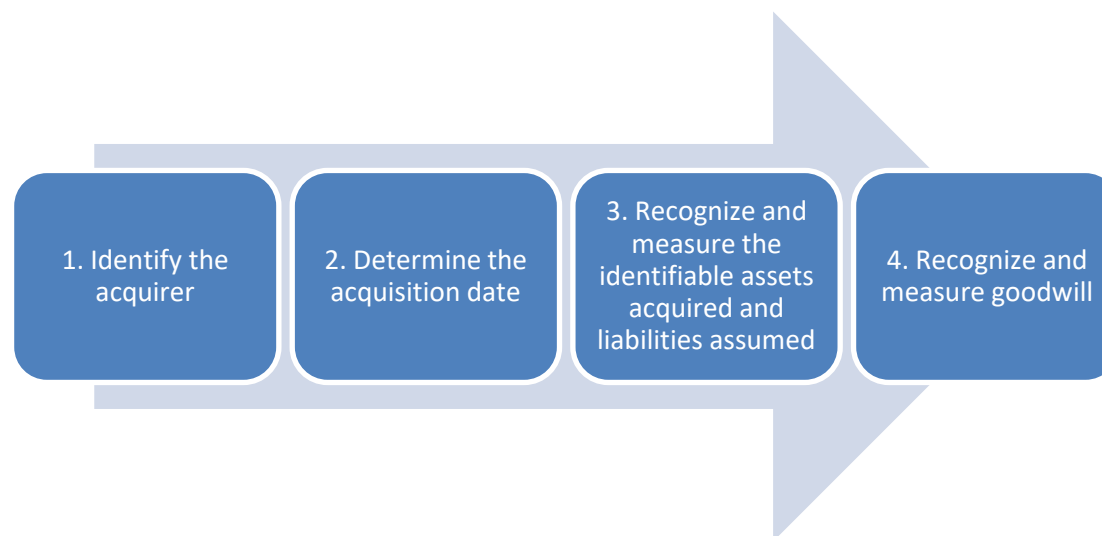
WHAT WILL WE BE STUDYING

This class is for the serious student who wants to focus on entering a field where you might be involved in mergers and acquisitions. We will focus on the entire lifecycle of mergers and acquisitions transactions, from strategy to valuation and financing, to deal due diligence and definitive document negotiation, to structuring, and ultimately to the accounting for mergers and acquisition transactions.

To evaluate a deal, you must have at least a basic understanding of the reporting of business combinations, one of the most complex areas of financial reporting. However, to account for a complex transaction, you must understand why and how entities engage in mergers and

acquisitions. You will be required to bring your knowledge from accounting, economics, finance, business law, and even taxes to understand better key risks and legal consequences related to structuring a business combination. Moreover, we will have fun along the way!!

Our focus will be on Accounting Standards Codification (ASC 805) Business Combinations. We will also deep dive into the strategy, valuation, financing, structuring and deal execution aspects of M&A transactions. You will be introduced to the key steps involved in the reporting of a business combination under the Acquisition Method that is summarized as follows:



Although the above diagram may appear to be simple, there are numerous complexities involved in each of the steps. For example, understanding entity valuations, tax implications, using different forms of consideration (e.g., debt, equity, share-based payments), treatment of assets acquired including IPR&D, reserves, contingencies (e.g., earnouts), and the impact of indemnifications provided by the parties to the transaction make the accounting for these transactions extremely difficult.

COURSE OUTCOMES

Accounting for business combinations is tested in the Financial Accounting Reporting (FAR) and (BAR) section of the Certified Public Accounting examination.

Therefore, I will test your knowledge and understanding by using materials taken from or substantially inspired by the CPA examination.

Our two primary textbooks will be:

- (1) To develop a holistic understanding of the M&A process: **The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition.**
- (2) To develop an understanding of the basic accounting for business combinations: **Advanced Accounting, 15th Edition.**

We will also be using, and you will be required to utilize the content and materials in: **Wiley CPA examination materials (FAR) (BAR) for this class.**

We will also reference to **Big 4 Accounting Roadmaps** for Business Combinations.

COURSE PARTICIPATION AND ATTENDANCE

Class participation is based on your contribution to class discussions, preparation for class, and class attendance.

GRADING POLICY AND KEY ACTIVITIES

Your final grade will be determined by total performance and engagement through in-class participation, thoughtfulness, and thoroughness of delivered work on assignments.

Numerous complex and diverse readings and studying will be needed to learn and comprehend the difficult topics you have chosen to focus on. Your required assignments are, in reality, milestone events and deliverables outlined below.

The following weights will be used in calculating final grades before the application of the class curve.

Graded activities	Weight
Class participation	20%
Discussion Questions (due at the start of class)	20%
Quizzes (due the night before the next class)	20%
Group Project (due at the end)	20%
Final examination (end)	20%
Total	100%

Class Participation

Participation will be graded based on attendance and students' active discussion of course material during class.

Discuss Questions

To facilitate a better understanding of course materials, you will be required to complete discussion questions before the start of each class. These discussion questions will be assigned through McGraw Hill Connect and will cover concepts and theories to be covered in the next class. To have more constructive and meaningful classroom interaction, these discussion questions will be due prior to each class meeting. Although the discussion questions will only be graded on an effort basis (no right or wrong answers) I strongly encourage you to use this opportunity to get familiar with the materials prior to the information being presented in class and come prepared to ask questions on any materials that you find difficult to understand. The discussion questions in Connect will close just prior to class starting each week

Quizzes

Weekly quizzes will test the knowledge of the contents from previous week's discussions, reading and discussion questions. They will be multiple choice questions and will be due by midnight of the evening prior to class.

Group Project

The group project is meant to be an informal, project-based analysis of the materials covered in class, and will be due on the last day of class. Powerpoint slides are perfectly appropriate for this assignment.

Exam

The final exam will be administered through Connect and you will have the full allotted exam time for this in-person final.

COURSE AGENDA

- **January 6 – Introduction of business combinations: overview, definitions, strategy, build versus buy, business models and risk**

Reading: * Chapter(s) 1 & 2 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

* Chapter 2 (Introduction, LO 2-1) from Advanced Accounting 15th Edition

- Introduction to Business Combinations
- The M&A Process
- M&A as Corporate Strategy

Quiz 1 - Strategy

Connect:

Due January 12

- **January 13 – Introduction to accounting for business combinations**

Reading: *Chapter 2 (LO 2-2, LO 2-3) from Advanced Accounting, 15th Edition

*On The Radar, Chapter(s) 1 (1, 1.1.1 – 1.1.7, 1.4,), Appendix C (1, 1.1, 2, 3, 3.4), 2 (2, 2.1, 2.2, 2.3, 2.4), 3 (3, 3.1, 3.1.2.1, 3.1.2.2, 3.2) from Deloitte Business Combinations Roadmap

- Accounting and reporting of business acquisitions (ASC 805) – Acquisition Method
- Anatomy of business combination reporting
- Recognizing a business combination transaction

Discussion Questions 1 – Bus. Combinations

Connect:

Due January 13

Quiz 2 – Bus. Combinations

Connect:

Due January 19

- **January 20 – Accounting and reporting for business combinations – step by step**

Reading: *Chapter 2 (LO 2-4 through LO 2-8) from Advanced Accounting, 15th Edition

*Chapter(s) 4 (4, 4.1, 4.2, 4.9, 4.10 (4.10.1 – 4.10.4)), 5 (5, 5.1, 5.2, 5.3, 5.4, 5.4.1-5.4.3, 5.5, 5.9 from Deloitte Business Combinations Roadmap

*BAR 8 Business Combinations from Wiley CPA Examination Materials

*BAR 3 Identified Intangible Assets from Wiley CPA Examination Materials

- Determination of consideration transferred
- Determination of and valuation of liabilities assumed
- Allocation of purchase price over identifiable acquired assets less liabilities assumed
- Recognizing goodwill or bargain purchase

Discussion Questions 2 – Bus. Combinations

Connect:

Due January 20

Quiz 3 – Bus. Combinations

Connect:

Due January 26

- **January 27 – Accounting and reporting for business combinations – Additional issues**

Reading: *Chapter 2 (review) from Advanced Accounting, 15th Edition

*BAR 8 Business Combinations (review) from Wiley CPA Examination Materials

*Chapter(s) 4 (4.3.4 (4.3.4.1-4.3.4.3), 4.3.6 (4.3.6.1-4.3.6.2)), 6 (6. 6.1, 6.1.1, 6.1.2, 6.1.3, 6.2, 6.2.1, 6.2.3, 6.2.3.1-6.2.3.3, 6.3), 7 (7, 7.1, 7.2, 7.3 (7.3.1-7.3.4, 7.3.5) 7.4, 7.5, Appendix A (A.1, A.2, A.3, A.9, A.10) from Deloitte Business Combinations Roadmap

*Chapter 11 (11 through 11.3.2) from Deloitte Income Tax Roadmap

- Measurement period
- Separate transactions
- Indemnification Assets
- Contingent Liabilities
- Disclosures
- Push down accounting and new financial accounting basis of assets
- Income taxes

Discussion Questions 3 – Bus. Combinations

Connect:

Due January 27

Quiz 4 – Bus. Combinations

Connect:

Due February 2

- **February 3 – Valuing a transaction and overview of identification of acquired assets**

Reading: *Chapter(s) 3 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

*FAR 12.01 Intangible Assets from Wiley CPA Examination Materials

*FAR 20.01 Valuation Techniques from Wiley CPA Examination Materials

- Overview of valuation
- Valuation approaches - Cost, Income (Discount Rate, Terminal Value), Market

Discussion Questions 4 - Valuation

Connect:

Due February 3

Quiz 5 - Valuation

Connect:

Due February 9

- **February 10 – Introduction to the accounting of equity investments**

Reading: *Chapter 1 (through LO 1-5) from Advanced Accounting, 15th Edition

*FAR 11.01 Investments Overview from Wiley CPA Examination Materials

*FAR 11.03 Investments in Equity Securities from Wiley CPA Examination Materials

*FAR 11.04 Equity Method of Accounting from Wiley CPA Examination Materials

*FAR 11.05 Transaction is Stock from Wiley CPA Examination Materials

- Introduction to the accounting for acquisition of enterprise interests
- Equity method of accounting
- Accounting for business assets that do not constitute an acquisition of a business
- What is or is not a trade or business
- Valuation of physical and intangible assets acquired

Discussion Questions 5 – Equity Method

Connect:

Due February 10

Quiz 6 – Equity Method

Connect:

Due February 16

- **February 17 – Financing structures**

Reading: *Chapter(s) 4 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

- Debt v Equity, Sources/Uses, Debt Structures

Discussion Questions 6 - Financing
Quiz 7 – Financing

Connect: Due February 17
Connect: Due February 23

- **February 24 – Overview: Structuring a transaction. A look into the legal, accounting and tax aspects of a deal**
Negotiations and Definitive Documents

Reading: *Chapter(s) 5 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

- Purchase of Assets
- Purchase of Stock
- Mergers
- Intro to Accounting Considerations
- Intro to Tax Considerations

Discussion Questions 7 – Deal Aspects
Quiz 8 – Deal Aspects

Connect: Due February 24
Connect: Due March 2

- **March 3 – Tax aspects of M&A - Overview of corporate and shareholder material tax considerations**

Reading: *Chapter 5 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

*TCP 5 from Wiley CPA Examination Materials

- Overview of tax issues related to business acquisitions
- Taxable transaction analysis; Seller/Buyer, Fully taxable transactions (structures)
- Determination of tax consequences of the transaction, Purchase price allocations for tax purposes
- Tax deferred transaction analysis; Overview of material tax considerations, Seller/Buyer, Requirements (Statutory/Judicial), Ruling request considerations

Discussion Questions 8 – Taxes
Quiz 9 – Taxes

Connect: Due March 3
Connect: Due March 9

- **March 10 – Governance, due diligence process, definitive document negotiations**

Reading: *Chapters 6 & 7 from The Art of M&A, A Merger, Acquisition and Buy-out Guide, 6th Edition

- Due diligence process and expected synergies
- Role of Due Diligence
- Levels of Due Diligence
- Accounting, Tax, Legal, HR, Business, IT, Technology Transactions between related parties
- The anatomy of a Merger/Acquisition Agreement

Discussion Questions 9 – Governance

Connect:

Due March 10

Quiz 10 – Governance

Connect:

Due March 16

- **March 17 – Group Project Due: Final Exam 3-6pm WFH 4N128**

ACADEMIC INTEGRITY

The integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and, in so doing, protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at <http://senate.ucsd.edu/manual/appendices/appendix2.pdf>

STUDENTS WITH DISABILITIES

A student with a disability or special need who requires accommodation to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the <https://disabilities.ucsd.edu/about/index.html> for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

ASSIGNMENT DESCRIPTIONS

Assignments will be posted on Canvas generally the week before the due date. Assignments are due prior to the beginning of each class. Assignments submitted after the class start time will not be accepted.

For students to participate in class discussions, weekly readings and assignments must be completed before the class for which they are assigned.

Professional Websites for reference

1. BDO International (www.bdo.com)
2. Deloitte (www.deloitte.com)
3. Ernst & Young (www.ey.com)
4. Financial Accounting Standards Board (www.fasb.org)



5. Grant Thornton (www.grantthornton.com)
6. International Auditing and Assurance Standards Board (www.ifac.org/IAASB)
7. KPMG (www.kpmg.com)
8. Panel on Audit Effectiveness (www.pobauditpanel.org)
9. PCAOB (www.pcaob.org)
10. PricewaterhouseCoopers (www.pwc.com)
11. Securities and Exchange Commission (www.sec.gov)